



CONSTRUCTURE
ACADEMY

SWISS NATIONAL BANK

INTEREST RATES & MONEY MARKET

*An Analysis of SNB Monetary Policy
and the Swiss Money Market*

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WHAT IS THE MONEY MARKET?

The money market is a segment of the financial market where short-term instruments (maturity ≤ 1 year) are traded — primarily by governments, banks, and corporations.



SHORT-TERM

Instruments mature in
days to one year



HIGH LIQUIDITY

Easily convertible
to cash on demand



LOW RISK

Backed by governments
or top-rated banks

SWISS NATIONAL BANK — OVERVIEW

Founded

1906

Headquarters

Bern & Zürich

Mandate

Price stability

Key Rate

SNB Policy Rate

Currency

Swiss Franc (CHF)



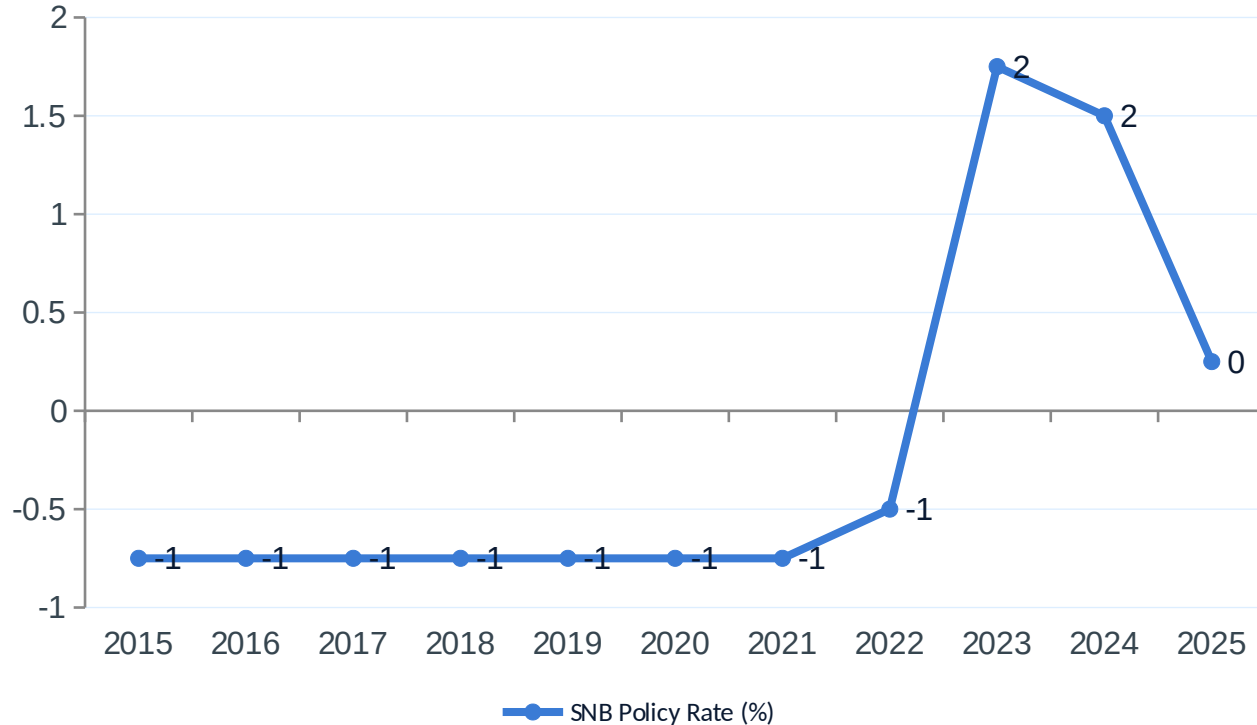
MANDATE

The SNB is responsible for conducting monetary policy in Switzerland's interest. Its primary goal is to ensure price stability, while taking economic development into account.

Independence since 1907



SNB POLICY RATE — HISTORICAL TREND



NIRP ERA

-0.75%

2015-2022

PEAK RATE

+1.75%

Jun 2023

CURRENT

+0.25%

Mar 2025

KEY INSTRUMENTS OF THE SWISS MONEY MARKET

01

SNB Bills

Short-term debt securities issued by the SNB to absorb excess liquidity and steer the money market.

02

Repo Agreements

The SNB uses repo transactions as its primary instrument to supply or absorb liquidity in the banking system.

03

Treasury Bills

Short-term Swiss Confederation debt instruments with maturities up to 12 months, traded on the money market.

04

Commercial Paper

Short-term unsecured debt issued by corporations to finance short-term needs at competitive market rates.

CONCLUSIONS & TAKEAWAYS

- 1 The SNB maintained negative rates (-0.75%) from 2015 to 2022 — the longest NIRP era among major central banks.
- 2 In response to global inflation in 2022–2023, the SNB pivoted aggressively, raising rates to 1.75% — a historic shift.
- 3 By March 2025 the SNB had cut rates to 0.25%, signaling confidence in disinflation and supporting a stable franc.
- 4 Switzerland's money market remains one of the most transparent and liquid in Europe, anchored by SNB repo operations.
- 5 Understanding SNB policy is essential for CHF-denominated asset allocation and hedging strategies.

